

and the market is higher than when you left it. You are now in a tough psychological position, because you don't want to admit you made a mistake in getting out and you've now missed part of the move up. If you are a mutual fund manager, I can tell you, you are very uncomfortable. You realize you are now behind your sluggish peers, who just sat there fully invested. You were doing all these clever things, and now they're not working so well. Probably the most common response at that point is to say, "No, I was right and I am still right. This rally is just a trap, to suck in the fools. It'll go up another 2 percent and catch them all. I'm not a fool, so I won't be sucked in." That is a very seductive argument, because it validates your original decision, and it gives you a course of action for the future that labels you wise and sophisticated.

But suppose the market, instead of having sprung a little bull trap and then retreated, continues its rally. The damn fools are still buying! All of a sudden you wake in the middle of the night, sweating over a career crisis. You can say to yourself, "Okay, I was wrong, really wrong. I was wrong the first time, to sell, and I was wrong the second time, not to get back in. I'd better admit I was wrong, get with it, and try to catch up—though I'm so far behind now, I don't know if I *can* catch up." Or you can decide, "No, I'll stay bearish. I'll stay out of the market a while longer. It *has* to go down soon . . . doesn't it?" But you feel very, very nervous making that decision. You are really caught between two impossible choices. And as a mutual fund manager, you know you are going to be in deep trouble for a very long time if performance lags; your career may never recover.

You have probably read that a big part of bull market moves occurs in the first few weeks of those moves. In 1991, for example, when the S&P 500 rose 30.5 percent, more than half of that climb came in the twenty-two trading days following January 16, the day the Gulf War started. Another 7.8 percent of the rise came in just the last six trading days of the year.

Bull market returns are highly concentrated. A University of Michigan study showed that the market's ninety best trading days